

Icici Bank Ltd vs Kapil Kumar on 22 March, 2024

BEFORE THE COURT OF SH. SURINDER S. RATHI, DISTRICT JUDGE
(COMM.)-03 SHAHDARA, KKD, DELHI

CS Comm. No.555/2023

ICICI Bank Limited
Having its Registered Office
Near Chakli Circle, Old Padra
Road, Vadodaram, Gujarat-390007
Having its Branch Office At:
E-3, Jhandewalan, New Delhi

.....Plaintiff

Vs.

Kapil Kumar
S/o Sh. Ramesh Chandra
R/o H.No.B-76, First Floor,
Jhilmil Colony, Vivek Vihar,
Delhi-110095.

.....Defendant

Date of Institution	:	30.10.2023
Date of Final Arguments	:	22.03.2024
Date of Judgment	:	22.03.2024
Decision	:	Decreed

Order 8 Rule 10 CPC

1.

This suit is filed by plaintiff, a nationalized bank, for recovery of Rs.8,60,840/-

alongwith interest @ 24% per annum.

Case of the Plaintiff

2. Case of the plaintiff as per plaint and the documents available on record is that the defendant approached the Plaintiff bank for availing an auto loan for purchase of Honda City Car bearing no. DL-14CE-2947. Upon due processing and documentation the loan of Rs.9 lakhs was sanctioned on 09.12.2021 which was supposed to be paid in 60 EMIs of Rs.20,478/- at an interest of 13% per annum. Plaintiff bank issued Foreclosure notice on 21.03.2023 which was neither replied nor complied. Court is apprised that out of first 16 EMIs defendant paid only 10 EMIs while defaulted 6 EMIs as on 09.05.2023.

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3. It is stated that as per statement of account dated 09.05.2023 there was an outstanding balance of

Rs.8,60,840/- which include late payment penalties, check bounce charges, interest. Plaintiff approached Shahdara DLSA for Pre- Institution Mediation under Section 12A of Commercial Courts Act, 2015 where defendant did not participate. The Non-Starter Report is dated 11.09.2023. In this backdrop, the suit in hand was filed with following prayer:

Prayer:

- i. Pass a decree for recovery of Rs.8,60,840/- in favour of plaintiff and against the defendant;
 - ii. Interest @24% per annum from the date of filing of the suit till realization of the decretal amount be also passed in favour of plaintiff and against the defendant. iii. Costs of the suit be also awarded in favour of plaintiff Bank and against the defendant and;
 - iv. Such further relief, order or direction as this Hon'ble Court deems fit be also passed in favour of the Plaintiff Bank and against the defendant.
4. Defendant was served by way of substituted mode by way of publication in "The Hindu" and "Haribhumi" on 16.02.2024 but he has not entered appearance. As per report of Ahlmad no WS was filed within thirty days.

Accordingly, today vide a separate order, right of defendant to file WS is closed. A request is made to pass a decree under Order 8 Rule 10 CPC.

Order 8 Rule 10 CPC: Procedure when party fails to present written statement called for by Court.

"Where any party from whom a written statement is required under rule 1 or rule 9 fails to present the same within the time permitted or fixed by the Court, as the case may be, the Court shall pronounce judgment against him, or make such order in relation to the suit as it thinks fit and on the pronouncement of such judgment a decree shall be drawn up."

5. I have heard arguments of Sh. Manish Diwan, Ld. Counsel for plaintiff. None appeared on behalf of defendant to argue the case. I have perused the case file carefully.

6. All the necessary original documents like loan agreement, sanction letter, loan documents, statement of account, Legal notice alongwith tracking report have been placed on record by plaintiff.

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7. The evidence in this case is primarily documentary. The documents relied upon by the plaintiff are the documents maintained by a bank in the ordinary course of its business. Though the exceptions cannot be ruled out, but generally taking a judicial notice of the banking business, these

documents can be considered to be duly executed in due course of the business and capable of binding the parties into a contractual relationship.

8. The pleadings of the plaintiff has remained unrebutted, unchallenged and uncontroverted. In the absence of any pleadings on behalf of defendant case of the plaintiff is deemed to be admitted. Record reveals that the principal outstanding as on the date of foreclosure of loan was Rs.7,87,338/-. As such suit of the plaintiff is entitled to be decreed for Rs.7,87,338/-

Interest:

9. Plaintiff has claimed interest @24% per annum. In the suit in hand the interest is payable as per Section 34 CPC. For ready reference, Section 34 CPC is reproduced hereunder:

Section 34 CPC: Interest

(i)"Where and in so far as a decree is for the payment of money, the Court may, in the decree, order interest at such rate as the Court deems reasonable to be paid on the principal sum adjudged, from the date of the suit to the date of the decree, in addition to any interest adjudged on such principal sum for any period prior to the institution of the suit, with further interest at such rate not exceeding 6% per annum as the Court deems reasonable on such principal sum from the date of the decree to the date of payment, or to such earlier date as the court thinks fit

(ii).Provided that where the liability in relation to the sum so adjudged had arisen out of a commercial transaction, the rate of such further interest may exceed 6% per annum but shall not exceed the contractual rate or interest or where there is no contractual rate, the rate at which moneys are lent or advanced by nationalized banks in relation to commercial transactions.

Explanation (i) In this sub-section, "nationalized bank" means a corresponding new bank as defined in the Banking Companies (Acquisition and Transfer of Undertakings) Act 1970. Explanation (ii) For the purposes of this section, a transaction is a commercial transaction, if it is connected with the industry, trade or business of the party incurring the liability.

Where such a decree is silent with respect to the payment of further interest (on such principal sum) from the date of the decree to the date of the payment or other earlier date, ICICI Bank Ltd. Vs. Kapil Kumar the Court shall be deemed to have refused such interest, and a separate suit therefore shall not lie.

(Emphasis Supplied)

10.Section 34 CPC provides that plaintiff will be entitled the interest at the rate at which Court finds reasonable. For a general suit, the rate of interest prescribed is 6% and for commercial suit, the Parliament promulgates that rate of interest may increase from 6% to a rate which is found

reasonable. Plaintiff is accordingly entitled to only the rate at which RBI has issued Circular for Commercial suits.

11.As far as the interest is concerned, rate applicable to Commercial transaction shall be payable. As per RBI notification dated 30.08.2022 issued vide Press Release no.2022-2023/794 whereby advisory issued by RBI to Schedule Commercial banks of accepting deposit rates @ 9.05% per annum.

Relief

12.In view of the above, the suit of plaintiff is accordingly decreed under Order 8 Rule 10 CPC with cost for the amount of Rs.7,87,338/- along with interest @ 9% per annum w.e.f 01.04.2023 (as loan was foreclosed on 21.03.2023) onwards, pendente lite and till realization. Lawyer's Fees is assessed as Rs.10,000/-.

13.Decree sheet be prepared accordingly. File be consigned to Record Room after due compliance.

(SURINDER S. RATHI) District Judge, Commercial Court -03 Shahdara District, KKD Delhi/22.03.2024 ICICI Bank Ltd. Vs. Kapil Kumar